IN THE NATIONAL COMPANY LAW TRIBUNAL
CHANDIGARH (COURT – II)
(Through Hybrid Mode)

Item No.102

CP(CAA) No.2/Chd/Hry/2025
(2nd Motion)

IN THE MATTER OF:
Tex Corp Private Limited ... Transferor Company

And

Tex Fasteners Pvt. Ltd. ... Transferee Company

Under Section: 230-232, CA 2013

Order delivered on 24.07.2025

CORAM:
SHRI. K. K. SINGH, **SHRI. K. BISWAL,**
HON'BLE MEMBER (T) **HON'BLE MEMBER (J)**

PRESENT:-

For the Petitioner Companies	**:**	Mr. G. S Sarin, PCS and Mr. Lokesh, Advocate
For the Income Tax Department	**:**	Mr. Varun Issar, Senior Standing Counsel
For the ROC	**:**	Mr. Krishan Paul Dutt, AROC

ORDER

1. The present Company Petition (2nd Motion) has been filed under Section 230-232 seeking approval of the Scheme of Demerger.
2. It is noted that the assets being transferred from the Demerged Company include plant and machinery, long-term advances, receivables, etc. However, the transfer of assets does not include the corresponding land and buildings in which these plants and machineries are installed. When, we inquired as to what are the two undertakings within this Company, the Ld. Counsel submits that, following the transfer of the assets identified and listed in Annexure A

to the Scheme, the remaining land and buildings will constitute the second division or rather the remaining undertaking/division which is intended to be let out to earn rental income. In this context, we require the Petitioner Companies to clarify as to how the proposed transfer of assets from Petitioner Company No.1 to Petitioner Company No.2 can be considered as transfer of an undertaking/division between them as *prima facie* the proposed scheme appears to be nothing but the transfer of the part of the Assets & Liabilities, and not an undertaking/division from One Applicant Company to other Applicant Company; and as such immunity from payment of capital gain under the Income Tax Act may not be available to such transfer.

3. The Ld. Counsel for the Petitioner Companies to file reply to the aforesaid queries by filing an affidavit. Let the same be alone at least one week before the next date of hearing.
4. Mr. Varun Issar, Ld. Senior Standing Counsel for the Income Tax appears and submits that the Department has filed its report. Mr. Krishan Paul Dutt, AROC appears and submits that they have also filed their Report. Explanation to the observation made by the RD has been filed by the Petitioner Companies.
5. List the matter on **18.09.2025, Higher on Board**.

Sd/-

(K. K. SINGH)
MEMBER (TECHNICAL)

Sd/-

(K. BISWAL)
MEMBER (JUDICIAL)

Priyanka
24.07.2025